THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 10 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 1

Chapter 20: **Globalisation and the Indian Economy (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Assertion (A): MNCs set up production in developing countries. Reason (R): Labour and other resources are cheaper there. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

2. Consider: (i) MNCs own production in more than one country; (ii) MNCs never invest abroad; (iii) MNCs buy local companies. Which are correct? 1

(a) all three **(b)** (i) and (iii) only
(c) (ii) and (iii) only **(d)** (i) and (ii) only

3. Assertion (A): SEZs are set up to attract investment. Reason (R): Companies in SEZs get tax holidays for an initial five years. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

4. A garment factory hires workers on contract for three months at a time. The most likely impact is: 1

(a) more job security **(b)** less job security
(c) higher wages **(d)** no change

5. Assertion (A): Developing countries criticise the WTO. Reason (R): The WTO rules are decided only by developing countries. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

6. A government that signs WTO agreements is likely to: 1

(a) ban trade **(b)** print currency
(c) reduce trade barriers **(d)** increase them

7. Which of these actions by a government goes against fair globalisation? 1

(a) allowing employers to ignore labour laws **(b)** supporting small producers
(c) negotiating better WTO rules **(d)** enforcing labour laws

8. Consider: (i) Tariff is a tax on imports; (ii) Quota is a tax on exports; (iii) Liberalisation removes barriers. Which are correct? 1

(a) all three **(b)** (ii) and (iii) only
(c) (i) and (iii) only **(d)** (i) and (ii) only

9. **Assertion (A):** MNCs set up their production units in countries where labour is cheap. 1
Reason (R): Low labour and other costs reduce the cost of production and help MNCs earn greater profits.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Tax on imports is a trade barrier. 1
Reason (R): The Indian government removed many barriers on foreign trade and foreign investment around 1991.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. How can MNCs help the host economy? 2

12. How did the barriers hurt consumers earlier? 2

13. Why do developing countries want fairer WTO rules? 2

14. Why are SEZs controversial? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how fragmenting production helps an MNC. 3

16. Explain how services have grown due to globalisation. 3

17. Why do MNCs prefer to place orders with small producers instead of setting up their own factories? 3

OR

Examine the arguments for and against SEZs. 3

18. What choices can consumers face because of foreign trade? 3

OR

Analyse why the government placed barriers on imports earlier and why it removed them later. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** A large MNC designs its products in research centres in the United States and has the components manufactured in China. The components are shipped to Mexico and Eastern Europe, where the products are assembled and sold all over the world. Its customer care is carried out through call centres located in India. 5
(i) What is a multinational corporation?
(ii) Why was China chosen for manufacturing components?
(iii) Why is India chosen for customer care?
(iv) How does this example show that production is spread across countries?

20. Assess the case for fair globalisation. 5

OR

Explain how liberalisation, technology and WTO together promoted globalisation. 5

END OF QUESTION PAPER — Total: 40 Marks